

OVERVIEW AND SCRUTINY COMMITTEE 26 JANUARY 2026

Report title: Medium Term Financial Strategy Savings Proposals

Wards: All

Portfolio: Cabinet Member for Finance (Acting) - Councillor Judith Cavangh

Report Authorised by: Zena Cooke - Corporate Director of Resources

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REPORT SUMMARY

The Council is on a path to financial sustainability and this report sets out the progress made so far in this financial year to deliver a sustainable balanced budget and Medium Term Financial Strategy (MTFS). The position reflects the significant and on-going pressure on the Council's finances because of the real terms cuts in government funding since 2010. In that time, the Council's funding has reduced by more than 28%, while demand for our services has increased and the inflation rate has been at a generational high.

The Council now has around £116m a year less to spend on local services compared to if government funding reductions had not taken place. Whilst in recent years we have seen increases in core spending power, these do not bring us back to former funding levels in real terms and neither have these kept pace with increases in the demand for our services. As a result of the housing crisis, demand for temporary accommodation has reached unprecedented levels across London and taken up increasing amounts of London boroughs' budgets. We also continue to face demand pressures in the key areas of adults and children's social care. The Council's financial planning has also been frustrated by a series of one-year settlements in previous years. The current government's commitment to multi-year settlements is welcome.

FINANCE SUMMARY

This report presents savings proposals that, if approved by Cabinet, will form part of measures to be taken to set a balanced budget in 2026/27 and over the MTFS period. The proposals contained in the report attached at Appendix A are the second tranche of savings and total £18.643m across the MTFS period and £7.679m in 2026/27. Savings proposals agreed by Cabinet will form part of the Council's proposed budget to be considered by Council in March 2026.

RECOMMENDATIONS

1. That Overview and Scrutiny Committee comment on the savings proposals at Appendix A.

1. CONTEXT

- 1.1 The Council is required by statute to set a balanced budget each year. The Council undertakes its financial planning through the MTFS process which is a four year planning period. The MTFS estimates expected resources and spending requirements over the planning period and where a funding gap exists between expected income and expenditure, savings proposals are developed to balance the financial position.
- 1.2 The main objectives of our MTFS are to:
- Prioritise our resources in-line with Our Future, Our Borough: Lambeth 2030, do so in line with our commitment to be a Borough of Equity and Justice and to ensure we achieve our 2030 ambitions:
 - Making Lambeth neighbourhoods fit for the future.
 - Making Lambeth one of the safest boroughs in London.
 - Making Lambeth a place we can all call home.
 - Maintain a balanced budget position, and always to set an MTFS which maintains and strengthens that position.
 - Provide a robust framework to assist the decision-making process within the Council.
 - Manage the council's finances with a forward looking four year rolling strategy.
 - Deliver value for money for our residents and businesses.
 - Exercise probity, prudence, and strong financial control.
 - Manage risk, which includes holding reserves and balances at an appropriate and sustainable level.
 - Continually review budgets to ensure resources are targeted on our key priorities.

2. PROPOSAL AND REASONS

- 2.1 In July we published an updated Medium Term Financial Strategy (MTFS) which estimated a budget gap of £84m across the 2026/27 to 2029/30 period. To meet the statutory requirement to deliver a balanced budget, since the publication of the revised MTFS, work has accelerated to close the estimated budget gap through the development of budget proposals. The process has included:
- Several rounds of budget challenge sessions with Cabinet Members, Corporate Directors and the Corporate Director of Resources and Cabinet Member Finance.
 - Review of benchmarking data and a line-by-line review of budgets.
 - The development of budget proposals which have been subject to review and challenge by Informal Cabinet.
- 2.2 The second tranche of savings proposals have now been reviewed by the Equality and Justice Panel and are recommended for approval by Cabinet to contribute to closing the MTFS gap. The proposals are contained in the report to be considered by Cabinet on 2 February 2026 which is in the attached Appendix.
- 2.3 The overall budget position for 2026/27, and the MTFS period, will be considered at the Cabinet meeting of 23 February and the Council meeting of 4 March 2026. This will bring together the savings approved by Cabinet, at the meetings in November and February, other budget changes and expected resources over the MTFS period.

3. FINANCE

- 3.1 This report concerns the Council's financial position and actions being taken to ensure a balanced budget is delivered for 2026/27 and the financial planning period.

4. LEGAL AND DEMOCRACY

- 4.1 The Council has a duty to maintain a balanced budget throughout the year and, accordingly, members are required to regularly monitor the Council's financial position. In implementing the Council's financial strategy for 2026/27 and subsequent years, members will need to balance the proposed level of expenditure in discretionary areas of service provision against that required to ensure that the Council complies with its statutory duties.
- 4.2. Section 28 of the Local Government Act 2003 imposes a duty on the Council to monitor its budgets throughout the financial year, using the same figures for reserves as were used in the original budget calculations. The Council must take necessary appropriate action to deal with any deterioration in the financial position revealed by the review.
- 4.3. In reaching decisions on these matters, members are bound by the general principles of administrative law. Lawful discretions must not be abused or fettered, and all relevant considerations must be taken into account. No irrelevant considerations may be taken into account, and any decision made must not be such that no reasonable authority, properly directing itself, could have reached. Members must also balance the interests of service users against those who contribute to the Council's finances. Monies may not be expended thriftlessly and the full resources available to the Council must be deployed to their best advantage. Members must also act prudently and in a business-like manner at all times.
- 4.4. In considering the advice of officers, and the weight to be attached to that advice, members should have regard to the personal duties placed upon the Corporate Director of Resources as Chief Financial Officer. The Chief Financial Officer is required by Section 151 of the Local Government Act 1972 and by the Accounts and Audit Regulations 2015 to ensure that the Council's budgeting, financial management, and accounting practices meet relevant statutory and professional requirements. In the event that the Council's overall financial position worsens considerably during the remainder of 2025/26, the Corporate Director of Resources will need to have regard to the statutory obligations which are placed on her personally when deciding on any particular actions to be recommended to Members to address her concerns. There are no specific legal implications arising out of this report.
- 4.5 There were no further comments from Democratic Services.

5. CONSULTATION AND CO-PRODUCTION

- 5.1 The MTFS process relies on information and analysis from budget holders, and more widely includes officers and members across the organisation in the appraisal of areas to be considered for savings. It is also informed by the budget consultation.

6. RISK MANAGEMENT

- 6.1 None for the purposes of this report.

7. EQUALITIES IMPACT ASSESSMENT

- 7.1 This report is part of the annual budget setting and MTFS process.
- 7.2 The report sets out new savings proposals by directorates totalling £18.643m.
- 7.3 The council's decisions about where to make savings; where to invest; and how to transform services are informed by the strategic objectives and priorities set out in the Borough Plan – Lambeth 2030: Our Future, Our Lambeth.
Our Organisational Approach to Equalities
- 7.4 The borough plan: Lambeth 2030, Our Future, Our Lambeth clearly states, 'By 2030, Lambeth will be a fair and equitable borough, which seeks and delivers justice in all we do'.

- 7.5 As a public sector organisation, we have a legal duty (under the Equality Act 2010) to show that we have identified and considered the impact and potential impact of our activities on all people with 'protected characteristics' (age, disability, gender reassignment, pregnancy and maternity, race, religion or belief, sex, sexual orientation, and marriage and civil partnership).
- 7.6 Additionally, informed by local evidence, the council also assesses the impact and potential impact on specific groups of disadvantaged residents as if they were protected characteristics, through considering their social and economic classification (SEC), health status, their speaking English as an Additional Language (EAL) and care experience.
- 7.7 Details of the budget equality analysis approach, analysis of the budget proposals and the Equity and Justice Panel advice on savings proposals and next steps are contained in the Cabinet report at Appendix A.

8. COMMUNITY SAFETY

- 8.1 MTFS planning assumptions include budgets that relate to the provision of community safety related services.

9. CHILD FRIENDLY LAMBETH

- 9.1 MTFS planning assumptions include budgets that relate to the provision of services that help deliver child friendly services, particularly those that improve the experience and outcomes of children looked after.

10. ORGANISATIONAL IMPLICATIONS

Environmental

- 10.1 MTFS planning assumptions include budgets that relate to the provision of Environment related services.

Health

- 10.2 MTFS planning assumptions include budgets that relate to the provision of Health related services.

Corporate Parenting

- 10.3 MTFS planning assumptions include budgets that relate to the provision of services that support our Corporate Parenting role.

Staffing and accommodation

- 10.4 MTFS planning assumptions include budgets that relate to the provision of staffing and accommodation.

Responsible Procurement

- 10.5 MTFS planning assumptions include budgets that are utilised to procure services that apply a responsible procurement approach.

Good Quality Jobs with Fair Pay and Decent Working Conditions

- 10.6 MTFS planning assumptions include budgets that relate to the provision of services that help deliver good quality jobs.

Quality Apprenticeships, targeted Employment for Lambeth residents and Lambeth Priority Group

- 10.7 MTFS planning assumptions include budgets that relate to the provision of services that help deliver quality apprenticeships and targeted employment.

Reduce Emissions: Lambeth Council has a commitment to being Zero Carbon by 2030

- 10.8 MTFS planning assumptions include budgets that relate to the provision of services and projects that help deliver the zero-carbon commitment.

Single Use Plastics

- 10.9 MTFS planning assumptions include budgets that relate to the provision of services and projects that help address the issue of single use plastic.

Positive Health and Wellbeing

- 10.10 MTFS planning assumptions include budgets that relate to the provision of services and projects that help deliver positive Health and Wellbeing.

Other Offers (Innovation)

- 10.11 Not applicable.

11. TIMETABLE FOR IMPLEMENTATION

- 11.1 The table below details the stages and deadlines for implementing the recommendations:

Activity	Proposed Date
Date published on Forward Plan	N/A
Publication on Decisions online	N/A
Officer or Cabinet Member Decision	N/A
End of Call-in Period (key decisions only)	N/A
Execution of Contract	N/A
Mobilisation Period for Contract	N/A
Commencement of Contract	N/A

AUDIT TRAIL

Name and Position/Title	Lambeth Directorate	Date Sent	Date Received	Comments in paragraph:
Councillor Judith Cavanagh	Cabinet Member for Finance (Acting)	22.01.26	22.01.26	Throughout
Zena Cooke Corporate Director	Resources	22.01.26	22.02.26	Throughout
Peter Hesketh, Finance	Resources	22.01.26	23.01.26	3
Andrew Pavlou, Legal Services	Resources	22.02.26	23.02.26	4
Roger Raymond, Democratic Services	Resources	22.02.26	23.02.26	Throughout

REPORT HISTORY

Original discussion with Cabinet Member	December 2025
Report deadline	23.01.26
Date final report sent	23 January 2026
Part II Exempt from Disclosure/confidential accompanying report?	No
Key decision report	No
Date first appeared on forward plan	N/A

Key decision reasons	4. Not applicable.
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Background information	Medium Term Financial Strategy Update Report 2026-2030.pdf
Medium Term Financial Strategy 2026-2030	

Appendices	Appendix A – January Financial Planning and Medium Term Strategy Report
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Appendix 1 – New Saving Proposals 2026-30

Appendix 2 - Budget Engagement Report 2026/27